Executive conclusion

Aston Martin Lagonda | £550m private credit financing, July 2026

The £550m financing solved a liquidity problem.
The analysis says the problem is structural.

- £340m of pro forma liquidity bought c.19 months of runway - a window, not a solution
- Aston Martin does not become self-sustaining within the forecast horizon; liquidity is exhausted c. February 2028
- Even at a 0% cost of refinancing, FY2030 free cash flow is still £(115)m - no achievable coupon fixes this structure
- The March 2029 maturity wall is £1,357m, c.4x the liquidity the deal created
- The 2029 notes were marked at 79.6% of par at 30 June 2026 - the market has already priced a restructuring

RECOMMENDATION: The financing delayed a restructuring rather than avoiding one. Expect a further capital event - additional debt, an equity injection, an asset sale, or further shareholder support - before the March 2029 maturity.

Why the financing was needed - and what was done

An urgent liquidity problem, met at high cost and at speed

POSITION AT 30 JUNE 2026

Metric	Reported
Net debt	£1,544.7m
Total liquidity	£145.2m
Adjusted net leverage	8.9x
H1 2026 adjusted EBIT	£(108.9)m
H1 2026 free cash outflow	£(197.6)m
RCF drawn	£163.0m of £170m - fully utilised

THE TRANSACTION - 22 JULY 2026

- £450m senior secured term loan plus a £100m delayed-draw facility
- Priced at SONIA + 6.75%, maturing July 2031
- Lead lender: HPS Investment Partners; a further £100m of junior debt capacity permitted
- Repaid the £170m RCF and the £20m drawn Yew Tree facility - both cancelled
- Pro forma liquidity raised to c.£340m

Guidance for FY2026 net cash interest was raised to c.£160m from c.£150m on the back of the transaction. The full-year run-rate cost is higher still: FY2027 cash interest of £191m, an increase of £31m, because FY2026 carries only c.5 months of the new loan.

What the deal changed - and what it did not

Liquidity up £197m. The 2029 maturity wall untouched.

Nominal, £m	Pre 30-Jun-26	Post pro forma
USD SSN 10.0% (Mar-29)	792.3	792.3
GBP SSN 10.375% (Mar-29)	565.0	565.0
New senior secured term loan (Jul-31)	-	450.0
RCF and Yew Tree facility	183.0	- (cancelled)
Other debt and leases	135.3	135.3
Gross debt	1,675.6	1,942.6
Total liquidity	145.2	341.9

MATURITY PROFILE (£m)

Year	Amount
2026	46
2027	-
2028	-
2029	**1,357**
2030	-
2031	450

IMPROVED: the 2028 RCF maturity is removed, £450m is pushed out to 2031, and liquidity rises £197m.
NOT ADDRESSED: the March 2029 wall is unchanged, gross debt rises £267m, and cash interest rises £31m.

The structural test

This is not a refinancing problem. It is a business problem.

TEST 1 - REFINANCING THE 2029 NOTES ACROSS THE RATE CURVE (FY2030)

Refinancing rate	Coverage	FY30 free cash flow
0.00% (hypothetical)	5.89x	**£(115.1)m**
10.375% (existing coupon)	1.61x	£(255.9)m
20.16% (market-implied)	0.96x	£(388.7)m

Even at a zero-percent coupon, free cash flow is still £(115)m. Refinancing terms are not the binding constraint.

TEST 2 - CAN THE BUSINESS FUND ITS OWN CAPEX?

£m	FY27	FY28	FY29	FY30	FY31
EBITDA	288	300	306	313	320
Capex	(350)	(350)	(350)	(350)	(300)
EBITDA less capex	(62)	(51)	(44)	(37)	20

EBITDA does not cover capex alone until FY2031 - and then by £20m, before a penny of interest.

TEST 3 - THE MARKET'S OWN VERDICT: the 2029 notes were marked at 79.6% of par at 30 June 2026, down from 92.6% in December and before this financing was announced. An implied yield of c.20% prices a restructuring, not a refinancing.

CAVEAT: 20.16% is the market-implied DISTRESS yield on the 2029 notes at 30 June 2026. It embeds default probability and is not a forecast new-issue coupon. The conclusion does not depend on it - the 0% row makes the same point. All three tests above are independent of the forecast assumptions.

Scenario output: no margin for error

The base case is already cash-negative. The downside only changes the date.

	Base case	Downside case
Covenant breach	FY2027	FY2027
Liquidity exhausted	**c. February 2028**	**c. November 2027**
Runway from 22-Jul-2026	c.19 months	c.16 months
Peak funding gap	£1,319m	£2,163m
FY2031 net debt / EBITDA	10.2x	29.9x
FY2029 interest coverage	1.0x	0.4x

- The base case is not a comfortable case: it assumes recovery to Aston Martin's own best-ever EBITDA margin (17.1%, FY2024) and still burns cash in every forecast year.
- On a volume-only stress the model tips into liquidity exhaustion at a decline of just 6.6% - the base case sits on the cliff edge.
- Covenant breach occurs in FY2027 at every tested threshold (£75m / £100m / £125m), so the date does not depend on the undisclosed covenant level.

CAVEAT: the downside is a NO-RESPONSE case. It deliberately excludes the mitigating actions management states it would take - capex deferral first - which matches the construction of management's own disclosed reverse stress test. Real mitigation would soften these outcomes. The base case, however, requires no stress at all to fail.

Alternatives considered - and recommendation

The right deal available. The wrong problem solved.

Option	Assessment
Rights issue	Only option that fixes solvency - but c.£1.3bn needed, roughly equal to FY2025 revenue. Shareholder base already stretched
Convertible bond	Saves cash interest; does not touch the £62m FY2027 EBITDA-less-capex deficit. Defers, does not fix
Public secured bond	Effectively unplaceable - the existing notes were trading at 79.6% of par
Private credit (actual)	Fast, certain, flexible. Cost: £31m more interest a year, more secured claims, c.19 months bought
Mixed debt / equity	The only structure addressing both the liquidity gap and the structural deficit

MARKET CONTEXT (per Bloomberg reporting; not confirmed by Aston Martin): the financing was reported as a drop-down structure subordinating existing bondholders, with a creditor group led by Arini, BlackRock and Sculptor opposing it and retaining Jefferies. Illustrates why the alternatives were harder to execute. Not relied upon in any figure or conclusion.

What would have to be true for the softer verdict: FY2031 EBITDA of £652m against £320m modelled - c.2.4x the FY2024 peak of £271m. A bet on operational transformation, not on the financing.

RECOMMENDATION - the financing delayed a restructuring rather than avoiding one.
As execution the deal is defensible: with the public market shut and shareholders stretched, private credit was plausibly the only executable option. As a solution it does not work - it addressed liquidity; the deficit is structural.
Expect a further capital event - additional debt, an equity injection, an asset sale, or further shareholder support - before the March 2029 maturity.